VOL. 03 · 16 MAY – 16 JULY · MMXXVI

A documentary record of two months in which Citadel took its own holding company through a deed of arrangement, turned a Wellington tower into an eight-million-dollar contract, watched a subdivision's cost-to-complete swell by nearly eight million — and produced through all of it, some three hundred and sixty machine briefings deep, while the deal desk never once stood still.

The payoff.

Volume Two ended on a cliffhanger: three critical fronts — a creditor vote, a criminal call, a tax deadline — all converging in the first week of July, with the outcomes unknown. This volume runs the tape forward. Across *two months, 16 May to 16 July 2026, New Zealand time*, the pending became the settled, and the pattern held: the firm resolves under pressure, and the machine runs beside it every working day.

The controlled demolition worked. On 7 July the **Hyperion One watershed meeting resolved to enter the Deed of Company Arrangement** — the original holding company brought down on Citadel's terms, the IRD liquidation already discontinued. Two days later a Wellington tower that had been a $6.2m bidding contest became an **executed $8m leasehold agreement**. The criminal file had its first call. And Babich Rise, the one that did not go to plan, saw its cost-to-complete swell to a **$7.86m budget uplift** — the number this report does not flatter.

Running underneath it all: the machine. In the window it produced **some 362 daily briefing artifacts** — morning, midday and evening rollups, per-person team standups, event logs — roughly twenty-six a working day, without a miss. That is the "big usage" of the month, and it is real. It is also, on close inspection, uneven — the machine's own telemetry went dark after 3 July even as the output around it surged. This volume documents both the reach and the blind spot, drawn from every surface the programme touches, because a record that flatters is not a record.

Farhad Moinfar

Editor · Citadel · Auckland · 16 July 2026 NZT

Contents.

Two months, four sections, one operating layer.

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DROPBOX GMAIL GOOGLE DRIVE CALENDAR NOTION LIGHTSPEED BRAIN

By the numbers.

Two months reduced to a balance sheet.

7 Jul

HYPERION DOCA CARRIED

Watershed meeting resolved to enter the Deed of Company Arrangement. Deal done; execution pending a long-stop date.

$8m

126 FEATHERSTON · CONTRACT

A June bidding contest became an executed leasehold agreement, 20-day DD, issued to Kirk & Co on 9 July.

$7.86m

BABICH BUDGET UPLIFT

$59.50m required against a $51.64m budget. The one project that did not go to plan. Shortfall $5.5–6.0m to fund.

362

MACHINE BRIEFING ARTIFACTS

Produced in the window — ~26 a working day across 14 days: 84 briefings/digests, 252 team standups, 26 data logs.

2 Jun

CITADEL CAPITAL → HYPERION ONE

Renamed and placed into voluntary administration; IRD liquidation (CIV-2026-409-223) discontinued 26 June.

18–19 Aug

ERA 3407924 · LOCKED

Duncan's adjournment denied 30 June; the Investigation Meeting is fixed. The employment fight goes to a hearing.

CRI-…027

POLICE V MOINFAR · FIRST CALL

Not-guilty plea, David Jones KC, first call 7 July. The Auditor-General declined to open an Auror inquiry.

$(232k)

JUNE GST REFUNDS FILED

Carrack $(221,133) + Imperator $(11,430), filed 9 July. The tax machine turned, for once, in Citadel's favour.

~51,500

BRAIN SUMMARIES ADDED

The corpus grew 104,093 → 155,571 across the two months; 126,609 source documents by the last live reading.

3 Jul

TELEMETRY WENT DARK

The machine's own usage counter reported nothing from 7 July on — even as the output around it kept climbing.

37

DAYS "SHEBA" WAS DOWN

The compute node reported unreachable on every weekday it was measured. The machine ran degraded throughout.

0

NOTION WRITES, TWO MONTHS ON

The structured-state migration — Volume One's proudest machine result — still recorded nothing new.

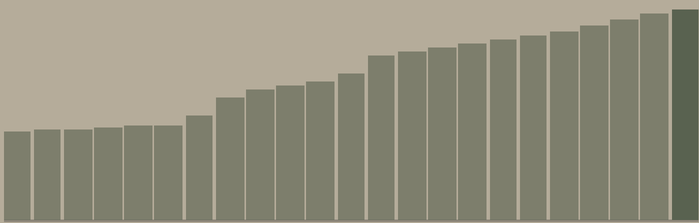
By the cadence.

The daily machine, and where the weight fell.

WHERE THE MATTERS CONCENTRATED · SIGNAL MENTIONS ACROSS THE PERIOD

citadel-intel	897
ERA · Duncan	688
Babich Rise	359
McLeans / Mansion	~325
Hyperion	230
Albany	188
IRD	112
Police (new)	77

THE BRAIN CORPUS · SUMMARIES HELD, 15 MAY → 3 JULY (LAST LIVE READING)



104,093 → 155,571 summaries over 126,609 documents — then a July plateau: ~0/min, and no reading at all after 3 July.

PRODUCTION CADENCE · THE TWO MONTHS

Morning briefings	daily
Midday check-ins	daily
Evening digests	daily
Team standups · 6 streams	×3 / day
Weekday misses	1 (22 Jun)
Telemetry live to	3 Jul

THE FULCRUM DAYS

2 Jun	Citadel Capital enters voluntary administration, 4:00pm.
26 Jun	ERA, Hyperion GST, NOPA, plea, 126 bid — one day.
7 Jul	Hyperion watershed carries the DOCA; the criminal first call.
8–9 Jul	$8m Featherston contract executed; the Fortis Christchurch tour.

READING THE CADENCE

The machine produced through travel, an administration, a criminal file and two Christchurch trips. The rhythm held — but the self-measurement did not: after 3 July the telemetry stopped reporting.

By the output.

The month the desk ran hot — counted honestly.

362
MACHINE ARTIFACTS
Generated in the window.

~26
PER WORKING DAY
Machine-consistent.

14
WORKING DAYS
Weekends skipped by design.

2×
FORMATS EACH
Markdown + HTML twins.

THE MACHINE'S OUTPUT · WHAT THE PIPELINE SHIPPED

Team standups	252
Briefings + digests	84
Event / data logs	26
Inbox captures	3

252 automated team standups — three sessions a day across six streams (aggregate plus Brandon, Farhad, Nicki, Zach and an info feed) — are the bulk of the "big usage." Every briefing and digest was produced twice, in Markdown and HTML.

THE HONEST ASTERISK

Usage looks large, and at the briefing layer it is. But the surge is narrower than it feels. **No new research brief** was produced after 11 June; **no new report file** lands inside the window (the last two volumes are dated 26 June); the "photoreal render set" the 15 July digest claims exists only as a sentence, not as files on the drive. And the machine's usage telemetry — token counts, pipeline rate, corpus growth — **stopped reporting after 3 July.** The activity was real; the measurement of it was not.

THE DESK'S OUTPUT · WHAT THE HUMANS SHIPPED

DEAL	Hyperion DOCA carried at the 7 July watershed; deed approved 13 July.
DEAL	$8m 126 Featherston leasehold agreement executed and issued to Kirk & Co (9 July).
MODEL	Babich funding pack rebuilt — Refinance Model, PC19-vs-CTC, 16-Babich acquisition model — for Fortis.
DESIGN	McLeans ~95% Revit / IFC set delivered by Studio 11:11; Holmes fire strategy; a pavilion brief.
TAX	June GST returns filed — Carrack $(221,133) and Imperator $(11,430) refunds.
ENTITY	Three SPVs restored to the register — Watchtower, Arcturus, Pasargard.

TWO ENGINES, ONE OPERATOR

The month's real output is the sum of two things the report keeps distinct: a briefing machine that ran hot and shallow, and a deal desk that shipped a deed, a contract and a funding rebuild. The first is measurable and largely automatic; the second is where the value was, and it still runs on one operator's judgement.

Projects

FOUR DEVELOPMENTS · MCLEANS · RYU ALBANY · BABICH RISE · 126 FEATHERSTON

01 · THE CARCASS GOES PUBLIC

McLeans Mansion.

387 Manchester Street, Christchurch · Imperator Holdings Limited · Heritage NZ Category 1

Plate i. The frontage, McLeans Mansion — "the largest timber residence in the southern hemisphere." In Volume One it was a thesis. In these two months it acquired an Instagram grid, a subdivision consent, a Revit model and a seismic-strengthening tender.

On 11 June at 16:59, Zach Venning launched the McLean's Instagram. "She's alive." The project that had lived in a Notion database and a design pool stepped, deliberately, into public view.

The McLeans story this period is a heritage carcass turning into a real construction project. Two on-site design workshops anchored it — **22 and 25 May**, at Manchester Street and The Welder — pulling Studio 11:11, Lepoutre, Jared Lockhart and BSW into one room, opening with Taylor Dunn's point-cloud walkthrough. The retainer settled at **$12,500 a month**; by 16 June the design language had a name — the *Ghost Wall* concept with artist Matt Liggins — and the mansion was accepted into **Open Christchurch 2027**.

Then the instrument caught up with the ambition. On **24 June the two-lot subdivision consent RMA/2026/1650 was granted**. The project crossed into the engineering reality of a Category 1 building: Richards Consulting Engineers (Project 26244) issued Contractor Advisory Note 03 Rev 2, and CPMC with QS **Greg Cutfield (Cuesko)** began a Stage 1 seismic-strengthening tender pack under an **NZS 3910:2013** contract (consent BCN/2019/6940).

> *The cap table was never the prize. The work is. This was the quarter the work acquired a consent number and a tender schedule.*

Then July turned it into a fundable asset. The **8–9 July Fortis tour** of the mansion (James Beale, Jono Ball, Zach, Brandon) closed strong — Beale singled out McLeans as *"an incredibly exciting project"* — and by 16 July it sat at the centre of the Fortis funding pack, with a mansion income model and Day-1 refinance LVR curves built for the 17 July meeting. The design team mobilised alongside: Studio 11:11's **~95% Revit / IFC set**, a Holmes fire strategy, a Matt Liggins pavilion brief, a Cazador hospitality concept — a measured model and a funding line arriving at once.

THE ASSET

Address	387 Manchester St, Christchurch
Heritage	Category 1 (HNZ)
Rooms	53
SPV	Imperator Holdings Ltd
Subdivision	RMA/2026/1650 · 24 Jun
Consent / contract	BCN/2019/6940 · NZS 3910
Structural / QS	RCE 26244 · Cuesko
Forecast GDV	$18m

THE ROOM, THE PERIOD

- Studio 11:11 · Lepoutre · Jared Lockhart
- BSW (Marc Peterson) · CPMC (Lynch, Russell)
- Matt Liggins · Anton Forde · Milly Wall — art
- Elle Foenander — Föenander Galleries

Plate ii. The principal staircase. The seismic tender will pre-drill every fixing into this timber; the conservation covenant governs every move.

THE DISCIPLINE THE PERIOD IMPOSED

The honest risk on McLeans was never the narrative — it is the gap between an editorial vision and a priced, consented, structurally-sound build. These two months narrowed that gap on every axis at once: a consent number (RMA/2026/1650), a contract form (NZS 3910:2013), a QS on charge-up until a fixed fee is set, a structural advisory note, and a Revit model that finally lets the design team work from measured reality rather than renders.

The open decision is the one that always mattered: *does the building earn the right to do everything, or does a single phase-one use earn it first?* The 8–9 July Fortis tour answered part of it — the funder is in, and the Cazador hospitality concept (17 July) is the phase-one wedge. The reconciliation of the sale narrative and the build narrative is now a funding question, not a design one.

> *A consent, a contract form, a QS and a measured model. The mansion stopped being a mood board and became a project that can be built and sold.*

02 · CONTRACTS SIGNED, ENTITIES IN FLUX

RYU Albany.

1 Munroe Lane (Pasargard) · 60 Don McKinnon (Telesto) · 4 Elliot Rose · Citadel Albany masterplan

Plate iii. Aerial concept, RYU Albany. In Volume One it was three variations sent to one agent in an afternoon. This quarter the third variation — 4 Elliot Rose — became an executed contract, and two SPV shells fell off the companies register.

The 29 April salvo turned transactional. On 28 May the 4 Elliot Rose SPA was executed and sent to the agent — and the back office immediately exposed the cost of letting SPV shells lapse.

On **28 May** the executed SPA for **4 Elliot Rose Avenue** went to Matty Ma and Alexander Dorrington (Jourdan Griffin, Sam Pinson); Matty's reply — *"Received with thanks. All yours now."* The vendor's lawyer-approval clause runs ten working days; clause 22.2 obliges the vendor to provide all property reports within five. The option-fee machine kept ticking: **Telesto / 60 Don McKinnon $9,500** on 1 June, **Pasargard / 1 Munroe Lane $5,000** monthly on the 10th, the Albany April consultant pack at **$15,911.87**.

Then the administrative truth surfaced. **Pasargard Securities was removed from the Companies Office register** and **Telesto Holdings temporarily struck off** for unfiled returns (reinstatement mid-July). The SPVs that hold the Albany contracts had quietly fallen off the register — a clean illustration of Volume One's warning that the back office is not yet worthy of the deal engine it serves. Invoices were re-addressed to Telesto, and the frozen Initia report cleared to unblock the consenting work.

> *The deal engine signs contracts faster than the back office keeps the signing entities alive. Two SPVs lapsed mid-transaction.*

The masterplan moved onto the planning axis and, in July, toward a submission. RDT Pacific ran weekly RC design sessions; the geotech came back clean on 2 July; a landscape concept (RMM) was presented on the 9th; the target lodgement is **~24 July**. But the same 9 July session surfaced the risk that matters: Tattico's Vijay Lala flagged a **"significant potential contamination risk"** in the site report — the kind of finding that can trigger a Council decline. Density, activation and now contamination all have to be threaded.

ALBANY CARD

1 Munroe Lane	Pasargard Securities
60 Don McKinnon	Telesto Holdings
4 Elliot Rose	SPA executed · 28 May
Pasargard	Removed from register
Telesto	Struck off · restore mid-Jul
Planner	RDT Pacific · Scott Mackay
Survey	Paused to mid-Aug (s92)

OPTION FEES · THE PERIOD

Telesto · 1 Jun	$9,500
Pasargard · 10 Jun	$5,000
Apr CPR pack	$15,911.87
Hydrant test · 26 Jun	$1,485

Plate iv. Watercolour masterplan. The drawing the project sells.

Plate v. Evening courtyard. The atmosphere the village promises — against the precinct objectives it must thread.

The pattern Volume One named held: every Sino-NZ Albany deal runs the same fast channel — Matty Ma as intermediary, Alexander Dorrington on the paper, Tattico and RDT on the planning. The new lesson of these six weeks is structural: the channel moves faster than the entities behind it. When the SPVs that hold the contracts are allowed to lapse on the register, the speed of the deal engine becomes a liability the back office has to chase. The mid-July Telesto reinstatement is the cleanup; the discipline question is why the strike-off happened at all.

03 · THE CONTINGENCY CLIFF, CONTINUED

Babich Rise.

125-lot subdivision, Henderson Valley · Carrack Capital Limited

Plate vi. Babich Rise from drone. Volume One left the uplift $1.1m apart. This quarter Drawdown No. 16 put the real number on the table — a $6.5m contingency overrun and a $7.79m facility-uplift ask — and the engineer-to-contract changed hands.

Drawdown No. 16 put the overrun on the table in late June. By 30 June the uplift had printed at $7.86m; by mid-July the shortfall to fund it was modelled at $5.5–6.0m, four park lots were cancelled, and the whole position was rebuilt for a refinance.

The number the quarter had been circling arrived and then grew. Against an original development budget of **$51,638,493** — FMT facility $47.2m plus Capital Group mezzanine, nil equity — Kingstons' 30 June uplift put the required total at **$59,496,846: a $7.86m uplift**, with a funding shortfall of **$5.5–6.0m** to close it (modelled 15 July across 5–10% contingency). Maven's full cost-to-complete review for Dempsey Wood was due 17 July; Drawdown No. 17 was already in train.

The response was structural, not cosmetic. The four underperforming park lots (83, 84, 89, 90) were **cancelled** on 15 July once Logan's best terms — $610k plus GST on nine-month builders' terms, roughly $70k a lot under market — failed to clear. FMT gave Carrack hard numbers: **$8,798,519** of principal and facility remaining, **$2,176,447** of capitalised interest. And the whole position was rebuilt into a Fortis refinance pack — a July refinance model, a PC19-versus-CTC analysis, and a 16-Babich acquisition model — turning a contingency crisis into a recapitalisation case.

> *Babich no longer just has to ship. It has to be refinanced — visibly, on a cost-to-complete a new engineer-to-contract will stand behind.*

On the consent, the **s.357B objection (BUN60432511)** was adjourned pending an LGOIMA request; the programme slipped, Stage 1 practical completion moving from 31 August to 25 September (the developer disputes it). And with Terra's Shaun Kearney having given way to **Maven's Kane Wilcox** on 4 June — Volume Two's unrepresentative cost-to-completes finally resolved — the new engineer now owns the number the whole refinance turns on.

BABICH · DRAWDOWN NO. 16

Budget (orig.)	$51,638,493
Required · 30 Jun	$59,496,846
Uplift	**$7.86m**
Shortfall to fund	$5.5–6.0m
FMT principal left	$8,798,519
Cap. interest left	$2,176,447
Park lots	4 cancelled · 15 Jul
ETC	Maven (Wilcox) ex-Terra

04 · THE BIDDING WAR

126 Featherston.

Featherston Tower, Wellington · the pivot becomes a contest

Plate vii. 126 Featherston. The pivot Volume One documented matured into a live contest: by 26 June Mike Price had lifted to $6.2m with Charlie Zheng and a third bidder behind him — and the funder was quietly backing the competition.

The June contest — three bidders, a $6.2m top bid, a funder quietly backing the competition — resolved on 9 July into an executed $8m leasehold agreement, issued to Kirk & Co.

The period turned 126 Featherston from a pivot into an auction and then into a contract. Through late June the contest ran hot: Savills (Martin Hebler) on the general agency, CBRE Wellington (Dharmendra Mistry) working a parallel line, Mike Price lifted to **$6.2m** with Charlie Zheng and Mike McCobie behind him — and the structural curiosity, visible only in the email traffic, that **FMT had indicated funding support to the competing bidders.** Farhad's instruction to CBRE was characteristically direct — *"squeeze another mil and a boat out of them"* — to which Mistry's reply was the line of the quarter: *"Unfortunately he sold the boat!"*

The squeeze worked. On **8 July** Brandon forwarded an **$8m leasehold offer with a 20-day due-diligence window**; Farhad executed the leasehold contract the same day — *"hold this and date it once we have the freehold agreement in hand"* — and on **9 July at 10:45** the signed agreement went to Stephen Kirk of Kirk & Co. From a $6.2m bid to an $8m executed leasehold in a fortnight; the pivot Volume One documented has a contract.

Underneath the contest, the building had to be kept running. Flick / Lloyd Richardson (Sean Mulholland, Nick Welch) gave notice they would **cease managing the tower on 30 June**, requiring a named property contact and offering to write off June's fees if the outstanding statement cleared; Schindler issued a **final notice (invoice #2855245)** threatening legal action; an interim ground-rent payment and a **$2,000** clearance went to Wellington City Council to lift a blacklist.

THE OUTCOME

Executed	**$8m · leasehold**
DD window	20 days
Issued	9 Jul · Kirk & Co
Top bid (Jun)	$6.2m
Agency	Savills · CBRE
Mgmt ends	30 Jun (Flick)

Plate viii. The tower lobby. An asset to be sold while it is still being run.

Fronts

HYPERION · IRD & THE NOPA CHESS · ERA · THE CRIMINAL FILE · CASTRA

FRONT 01 · THE CONTROLLED DEMOLITION

Citadel Capital becomes Hyperion One.

Company #6262074 · Voluntary administration · Waterstone Insolvency

This is the defining event of these two months, and it was a decision, not an accident. Faced with an IRD liquidation proceeding — **CIV-2026-409-223**, High Court Christchurch, served on 25 May and set down for **2 July** — Citadel did not wait to be wound up. On **2 June at 4:00pm**, by board resolution under s239I, **Citadel Capital Limited was renamed Hyperion One Limited and placed into voluntary administration**, with **Damien Grant (IP131) and Adam Botterill (IP143) of Waterstone** appointed administrators. The "Citadel Capital" name was freed for a clean entity; the tax liability stayed with the shell.

The mechanism is a Deed of Company Arrangement. The positioning paper — authored 10 June, privileged — proposed a **DOCA paying 100 cents in the dollar over 24 months** on an admitted unsecured pool of roughly **$1.27m across 13 creditors** (IRD's GST claim alone $228k), against a liquidation alternative that returns *nil*: there are no realisable assets. The arithmetic is a knife-edge. The watershed vote needs 75% by value. The base scenario lands at **74.98% — it fails by two-hundredths of one percent.**

> *A controlled demolition: bring the shell down on a deed that pays creditors in full over two years, rather than be wound up on the Commissioner's timetable for nothing.*

The swing vote is the man on the other side of the employment file. **Converting Paul Duncan's $90k claim to "for"** takes the vote to **82.1% — it passes.** Elle Foenander's $190k carries a related-party risk under s239AM; Nat Moinfar Design's $60k is excluded as related; the biggest friendly creditor is **BSW Architects at $400k**. The first creditors' meeting ran on 15 June at Waterstone; the **watershed meeting is set for 1:00pm on Wednesday 8 July**. The administrators have flagged a director-conduct review under ss135–136 — the standard, expected scrutiny.

On **26 June the IRD discontinued the liquidation;** on **7 July the watershed meeting carried the resolution to enter the DOCA.** The demolition worked. Farhad approved the deed on 13 July — *"proceed as you have drafted"* — against a long-stop execution date; as at 16 July the deed and its guarantee are approved, signing pending. One twist remains: the IRD has opened a **fresh GST review** of Hyperion's February–March returns (Amila Warsha), with Cleaver already supplying working papers. The shell is down; the tax authority is still reading the file.

100c	$1.27m	74.98%	7 Jul
DOCA · IN THE DOLLAR	**ADMITTED POOL · 13 CREDITORS**	**BASE VOTE → CARRIED**	**WATERSHED · CARRIED**
Over 24 months. Liquidation alternative: nil.	IRD GST claim $228k within it.	The knife-edge tipped: the DOCA resolution passed.	Deed approved 13 Jul; signing pending.

FRONT 02 · THE TAX-LOSS CHESS GAME

The NOPA chess.

Galleon · Mirador · Castra · Barbarossa · ARX — losses raced against the register.

The tax front this quarter was not defence — it was a tightly-timed reallocation of group losses, run against a hard deadline: *once a company is struck off the register, its losses are gone forever.* The win came first. On **28 May the IRD withdrew its statutory demand against Alcazar One** (Kathy Gavin to James Ryan), reversing the default GST assessments and leaving only an August-2025 residual of **$30,637.82**.

Then the chess. Cleaver's Cecilia Wu prepared Notices of Proposed Adjustment to redirect group losses before two SPVs left the register. On **Galleon Capital** (IRD 132-806-252), an FY2023 taxable profit of **$3,327,945.49** — which Brandon disputes, since seven units did not settle until FY24/25 — was cut by a Castra group-loss offset of **$1,056,600.26** to **$2,271,345.23**. On **Mirador Holdings** (132-475-687, in removal), FY2024 income of **$3,174,264** was taken to **zero** by brought-forward losses of $1,486,877.94 plus Barbarossa One ($1,252,444.89) and Castra ($434,941.16) — flagging interest income double-counted by the prior accountants along the way.

> *Losses are a wasting asset. Once the company is struck off, they vanish. The NOPA window was a race against the Companies Office clock.*

The losses already lost are the lesson: **ARX Holdings** (FY2023 profit $1,550,879) and **Mistral One** were struck off before their losses could be applied — gone. By July the game had moved to evidence — Cleaver requesting the full reconciliation to 31 March 2025 from Lowthers to underpin a negligence case — while the IRD rejected a Castra FY2021 amendment as out-of-process. And, for once, the tax machine turned in Citadel's favour: **June GST refunds of $221,133 (Carrack) and $11,430 (Imperator)** were filed on 9 July.

THE OFFSETS, STAGED

ENTITY	POSITION
Galleon FY23 profit	$3,327,945
— Castra offset	($1,056,600)
Galleon revised	**$2,271,345**
Mirador FY24 income	$3,174,264
— b/f losses	($1,486,878)
— Barbarossa One	($1,252,445)
— Castra	($434,941)
Mirador revised	**$0.00**

WHAT IT COST TO LEARN

ARX ($1.55m FY23 profit) and Mistral One were struck off *before* their losses could be claimed — forfeited. Mirador's $351k of Castra losses survived only because the FY24 amendment was filed before removal. The discipline gap is a real-dollar gap.

FRONT 03 · DUNCAN V CITADEL, CONTINUED

ERA 3407924.

The employment matter that became a creditor vote.

Paul Duncan's employment claim ran on two tracks at once this quarter, and the administration fused them. In the Authority, respondents' witness statements — Farhad, Brandon Morley, Nicki Colebrook — were filed and served on **28 May**; the Investigation Meeting is set for **18–19 August 2026**; Member Larmer's joint-bundle directions fell due 24 June. Nathan Santesso of TWA acts for Duncan.

Then the name-change drew scrutiny. Santesso put the Companies Office swap — Citadel Capital becoming Hyperion One — and a Newsroom article in front of Authority Officer Noopur Pathakjee. The Authority required, by **12pm on 26 June**, the administrator's written consent for the proceeding to continue and full disclosure of the company's financial position, observing that the funding arrangement could be "concerning if it has effectively limited the funds available to the applicant." Drennan provided the consent — valuing Duncan's disputed claim at **$1 for voting purposes** — and the compliance filing landed at noon on 26 June; Pathakjee acknowledged it and opened the applicant's window to respond to a proposed adjournment.

> *The same $90k claim was a liability in the Authority and the swing vote at the watershed — where, valued at $1 for voting, it could not stop the deed. Duncan remains the adversary; the hearing is in August.*

TWO TABLES, ONE CLAIM

In the ERA: Duncan's alleged $90k commitment (Apr–Dec 2025) is disputed in full. IM 18–19 Aug 2026.

In the administration: the same $90k is the conversion that lifts the DOCA vote from 74.98% to 82.1%.

The pivot: Duncan declined the adjournment (30 Jun) and the Investigation Meeting is locked for **18–19 August**. Post-watershed, the Authority is pressing both sides to "work this out" — settlement pressure, with joint-bundle deadlines running to 24 July.

FRONT 04 · A NEW KIND OF FRONT

Police v Moinfar.

CRI-2026-004-005027 · PRN 39982207 · first call 7 July, Auckland District Court

The genuinely new front of the quarter is criminal. Three charges of driving while suspended — CRNs 26004007353/354/355 — were assembled by a constable using **Auror** automatic-numberplate-recognition queries. The defence case, briefed to **David Jones KC**, is exclusion-led: a section 30 Evidence Act application to exclude the Auror evidence, with an abuse-of-process stay in the alternative. The factual seams are promising — Count 1 alleges 11 May, but the NZTA licence suspension did not start until **25 May**; the vehicle is Natalie's Range Rover with no driver identification; the numberplate read carries a "7V" anomaly.

Around the prosecution, Citadel ran a deliberate **privacy and official-information counter-campaign** (references REF-031 through REF-045): a complaint to the Privacy Commissioner over Auror/ANPR under the Privacy Act 2020; a request to the Auditor-General on Auror governance and value-for-money (REF-042); a letter to the Solicitor-General and Crown Law's Public Prosecutions Unit on the conduct of the case (REF-043); a second supplement to an IPCA complaint (26-33766); and a section 30 Criminal Disclosure Act application after CJSU supervisor Graham King refused further disclosure. The leading authority cited: *Tamiefuna* [2025] NZSC 40.

> *Disclosure response due 30 June; first call 7 July, Auckland District Court, Albert Street. The exclusion argument is the case; the privacy campaign is the pressure around it.*

The **not-guilty plea** was filed and the **first call was heard on 7 July** at the Auckland District Court. The counter-campaign then drew its first rulings — and they went against Citadel: on **15–16 July the Auditor-General declined to open an Auror inquiry** while the prosecution is live (Farhad's letter had cited 350,000-plus ANPR searches across 2018–22 and roughly 120 officers querying vehicles connected to themselves), and the Privacy Commissioner's Constable-Lee file (IR-02-26-4436) had its decision pushed out to **31 August**. The honest footnote — and it belongs in the record — is in the brief to counsel: Farhad told David Jones KC that his *"over-caffeinated AI machine"* had produced paranoid, voluminous output, "a few kites flown," and that strategy would be set by counsel, *"not the aforementioned AI."* The machine surfaces; it does not decide.

FRONT 05 · THE LITIGATION SUITE

Castra and the others.

A Court of Appeal, a statutory demand, a body-corporate, a concession.

The litigation suite carried over from Volume One and reached real milestones. In **Castra v Black Interiors**, the appeal moved to the Court of Appeal: appellant submissions and bundle of authorities (CA786/2025) were filed and served on **23 June** via Murray Tingey and Celia O'Kane, with an internal appeal-likelihood assessment produced the same day. The **Greenwood Roche statutory demand** (Rob Harris, GREE-ACTIVE.FID204926) narrowed to a last $10k. The **Kepler One** body-corporate levy (BC 416018, Unit S502, 326 Evans Bay Parade) reached an expired-demand deadline on 25 June.

Not every matter was fought. The **McBride** dispute was conceded — following the Law Society's Notice of Decision (file C0025148), Farhad instructed RA Law's Richard Allen to release trust-account funds and declined to appeal. Knowing which matters to close is its own discipline.

THE SUITE · STATUS AT 16 JULY

APPEAL	Castra v Black Interiors — CA786/2025 submissions filed 23 Jun (Tingey / O'Kane).
DEMAND	Greenwood Roche — $10k demand renewed 14 Jul (Rob Harris, "we reserve our rights").
LEVY	Kepler One BC 416018 — demand expired 25 Jun, payment-or-proceedings.
CLOSED	McBride — conceded; trust funds released; no appeal (LS C0025148).
WATCH	Terra Capital Partners in liquidation; Castra is a Hyperion DOCA guarantor pending strike-off.

FRONT 06 · THE BOARD, AT A GLANCE

The risk surface, end of window.

Every live front, ranked, with its next hard date.

FRONT	SEVERITY
Babich shortfall · $5.5–6m to fund	Critical
RYU RC · contamination risk	High
ERA 3407924 · IM 18–19 Aug	High
Hyperion DOCA · signing / long-stop	High
Police v Moinfar · next call	High
Hyperion IRD · new GST review	Med
NOPA / Lowthers negligence	Med
Castra v Black · Court of Appeal	Med
Watchtower / SPV register hygiene	Med
McLeans → Fortis funding	Watch

SETTLED, AND STILL AHEAD

7 Jul ✓	Hyperion DOCA carried; criminal first call heard.
8–9 Jul ✓	$8m Featherston executed; Fortis Christchurch tour.
17 Jul	Maven Babich CTC review; Fortis meeting; Cazador.
24 Jul	RYU RC submission; ERA final joint bundle.
12 Aug	190 Federal Street private-treaty deadline.
18–19 Aug	ERA 3407924 Investigation Meeting.
31 Aug	Privacy Commissioner · Constable-Lee decision.

THE SHAPE OF IT

The three criticals of early July all resolved — a deed carried, a contract signed, a call heard. What replaced them is not lighter: a Babich funding hole, a contaminated RYU site, and an August hearing. The deal desk cleared the week; the question the Machine section asks is whether it did so from a register, or from one operator's head.

Field

THE CHRISTCHURCH THEATRE · THE PIPELINE · THE ROOM

FIELD 01 · THE SOUTHERN THEATRE

Christchurch.

The Welder, 18–20 Welles Street · Manchester Street · and a city becoming Citadel's second stage.

Plate ix. The Welder, 18–20 Welles Street — the Christchurch base from which McLeans, the Manchester Street cluster and the southern pipeline are run.

Christchurch was where the operator physically was for much of the window — a multi-day trip 14–17 May, flights down and back on 2 and 4 June, and the 5–8 July return already booked. The Welder is the anchor; around it the Manchester Street cluster thickened. Beyond the McLeans subdivision at 387, conditional contracts were issued on **411, 411A and 413 Manchester Street** through Citadel Capital Services, and an additional title at **176** was pursued through Savills' Norman Engel.

The wider southern pipeline ran warm and selective: 176 Gloucester at $10k/month; 74 Oxford Terrace countered at $5.5m before the vendor walked on the DD window; 7–15 Kirkwood Avenue; 207 St Asaph Street near the Welder; the Merivale comparables (the Mansfield) reviewed with Savills and BSW. The discipline was visible — deals were countered, conditioned and, when the terms did not hold, allowed to die.

> *Christchurch stopped being a single acquisition and became a theatre — a base, a heritage flagship, a street cluster and a live pipeline, all run from one room on Welles Street.*

FIELD 02 · ORIGINATION, IN PARALLEL

The pipeline.

New sites worked up while four projects and six fronts ran live.

The clearest proof the deal engine never paused is the origination that happened *alongside* the administration. The headline new name is **3370 Great North Road — "Eden Row"**: an 800sqm West Auckland site of part-built, ex-bank-stock townhouses, taken from cold lead to a full work-up — feasibility at land values of **$625k and $725k** (prime LVR on completion 65%), a $25k vertical-demolition quote from Gus Macdonald, a sales brochure, a microsite, a THAB land-comp analysis and a sanitisation-and-hoarding brief — with a revised unconditional offer of **$605k** to Alpha First on 15 June.

Around it: a **"Boats for Buildings"** proposal with full draft SPAs to Matthew Horncastle of Williams Corporation; Connal 145, a heavy-industrial DD; a Parnell project Indi Patel of Project Floors is chasing; and, into July, fresh inbound — **190 Federal Street** (freehold, private treaty closing 12 August) and a G.J. Gardner multi-residential build-partner approach.

July also brought a quieter kind of origination: restoring the register. Three SPVs struck off for unfiled returns — **Watchtower** (the holding company for several project vehicles), **Arcturus** and **Pasargard** — were restored to the Companies Office in the window. It is the same lesson Volume Two named on Albany: the deal engine keeps outrunning the entities that hold its contracts, and the back office spends July catching up.

WORKED UP THIS WINDOW

3370 GNR · Eden Row	$605k offer · feas. $625/725k
190 Federal St	Freehold · treaty 12 Aug · new
G.J. Gardner	Multi-res build partner · new
Williams Corp	"Boats for Buildings" · SPAs
Connal 145 · Parnell	Heavy-industrial · concept
Manchester St 411/A/413	Conditional contracts

Fresh origination threads in the same two months the holding company went through administration.

FIELD 03 · COUNTERPARTIES OF THE PERIOD

The room.

The people who entered the file across two months — counsel, administrators, consultants, agents, the Crown.

Plate x. The room widened sharply this quarter — insolvency practitioners, a King's Counsel, the Crown, and a forensic accountant joined the standing cast of designers and agents.

The counterparty graph this period tells the story by its new entrants. **Insolvency:** Damien Grant, Adam Botterill and Peter Drennan of Waterstone. **Counsel:** David Jones KC on the criminal file; Murray Tingey on the Court of Appeal; James Ryan and Jack Ormiston at Claymore; Russell Bartlett KC on Albany. **The Crown and regulators:** Crown Law's Philip Coffey, CJSU's Graham King, the IPCA, the Privacy Commissioner, the Auditor-General. **Tax:** Cecilia Wu and Fergus Cleaver, against the prior accountants at Lowthers.

The standing cast held: Studio 11:11 (Annabel Smart, Nathan Varga), Lepoutre, Jared Lockhart, BSW's Marc Peterson, CPMC's Tom Lynch and Martin Russell, RDT Pacific's Scott Mackay, Tattico's Vijay Lala. The funders — FMT, Capital Group's Michael Albert, Fortis's James Beale, Alpha First's Stephen Crerar. The agents — Savills, CBRE, Bayleys, Matty Ma. And the new art names around McLeans: Matt Liggins, Anton Forde, Milly Wall, Elle Foenander of Föenander Galleries.

> *A standing army of the country's best names — now joined by the people you call when the holding company goes into administration and a charge is laid.*

Machine

LIGHTSPEED IN PRODUCTION · THE RESEARCH DESK · THE GAPS · THE PLAN

MACHINE 01 · THE OPERATING LAYER, RUNNING

The machine ran every day.

The system that surfaced this report is the system this report is about — and it produced through all of it.

The headline is endurance and volume. Across two months — through a Christchurch death-march, a Fiji week, an administration and a criminal charge — **Lightspeed shipped its daily briefings without breaking stride**. In the July window alone it produced **362 artifacts over 14 working days — about 26 a day**: morning, midday and evening rollups plus per-person team standups, every one written twice, in Markdown and HTML. The brain corpus grew from 104,093 to 155,571 summaries over 126,609 documents. This is the operating rhythm Volume One promised, now running hot — and, on close reading, running *shallow*.

The architecture is concrete. A **launchd-scheduled Python runner** — not the n8n design the spec called for — produces four slots a day in Markdown and HTML, plus per-person team aggregates for Farhad, Brandon, Zach and Nicki, and the named AI personas. Inference runs on **Ollama at citadel-intel:11434** with a **gemma3:12b** fallback. A live dashboard and action API sit on **port 8787 over the tailnet** (100.83.125.34) — /api/actions returned six current must-land items parsed from the 26 June briefing, with completed-action state persisted back. A note-router on 127.0.0.1:8788 classifies inbound captures and routes them. Every deliverable gets a Markdown twin and a front-mattered summary under `_llm/`.

> *It is a dependable daily cockpit. It is not yet the control plane the doctrine demands. That distance is the whole of this section.*

The briefings did real work — they surfaced the 12:00 ERA filing deadline, the Galleon NOPA inputs, the Hyperion GST obligation, the 126 Featherston bid and an overdue supplier invoice, on the right days, in the right order. But the same machine, on a live legal matter, was also *materially wrong*: it briefed the Hyperion situation as an IRD liquidation when the company was already in voluntary administration, and had to be corrected by hand. And after 3 July it stopped reporting its own telemetry entirely — still running, no longer measuring itself. A cockpit that briefs the wrong status and cannot see its own gauges is exactly why the next pages matter.

362	252	84	3 Jul
ARTIFACTS · JULY WINDOW	**TEAM STANDUPS**	**BRIEFINGS + DIGESTS**	**TELEMETRY LAST READ**
~26 a day, 14 working days.	3 sessions × 6 streams × 14 days.	Each in Markdown and HTML.	Then silent. Running, unmeasured.

MACHINE 02 · INTELLIGENCE, PRICED AND REVIEWED

The research desk.

Deep research, an adversarial reviewer, and a dollar figure on every brief.

The most mature machine capability this quarter is the research desk. Each brief runs a pipeline: **Perplexity sonar-deep-research** for primary collection, sonar-reasoning-pro for synthesis, then a **Claude opus-4-7 reviewer** that returns a verdict — ship, revise, or reject — with a USD cost stamped on every stage. The reviewer is not decoration: it consistently strips fabrication. In the May tranche it *rejected* briefs outright for inventing million-dollar listings, misreading the query, naming the wrong entity (Williams Corporation), and returning Albany, New York data for Albany, Auckland.

In this window the desk produced a coherent body of work on a single question — **price discovery for the RYU Albany acquisition programme**: Albany 0632 listings above $1.0m (138 Salerno Rise at $1.23m anchoring a $1.05–1.40m band), Babich Rise pricing against a thin Henderson Valley comp set ($1.285–1.45m versus a ~$1.6m local ceiling), corporate due-diligence on Sequoia Development, Albany City Development Corporation and Precinct Properties. The recurring finding is honest about its own limits: the binding constraint is data opacity — the address-level settlements sit behind CoreLogic and Valocity paywalls, not on the public portals.

> *A reviewer that rejects its own desk's fabrications, and a cost line on every brief, is the beginning of the cost discipline Volume One said the programme still lacked.*

JUNE BRIEFS · COST & VERDICT

BRIEF	USD	VERDICT
Albany 0632 listings (2 Jun)	1.14	revise
Albany City Dev Corp (3 Jun)	1.39	revise
Precinct Properties (4 Jun)	1.06	revise
Sequoia Development (5 Jun)	—	revise
Auckland 0632 sales data (7 Jun)	—	revise
Babich Rise pricing (8 Jun)	—	revise
Albany 0632 sales (10 Jun)	—	revise

PROLIFIC IN JUNE, SILENT IN JULY

Per-brief cost ~$1.06–1.39; the opus-4-7 reviewer earns it — fixing a PPT↔PCT ticker error, stripping invented directors, dropping loose correlations. But **no new brief was produced after 11 June.** July's surge was in briefings, not intelligence: volume at the daily layer, quiet at the research layer.

MACHINE 03 · EVERY SIGNAL CAPTURED, GAPS NAMED

The gaps, identified.

A full trawl across all surfaces — and an honest account of what it could not find.

This volume, like the last, was built from a deliberate sweep of every surface the programme touches — Dropbox daily briefings, Gmail, Google Drive, Calendar, Notion, and the brain corpus. The instruction was to capture every signal and name what was missing — and this month the largest gap is the machine's account of *itself*. The standing audit verdict on the operating layer is one word: **AMBER**. Here is why.

The control plane is still missing.
Doctrine v1.0's load-bearing requirement — a single canonical matter registry — does not exist as a file. The Citadel-Intel `02-index` and `06-governance` folders are empty shells. The system can brief and remind, but cannot run a weekly operating review from registry data. The operator remains the hidden integrator.

The telemetry went dark.
Through 3 July the usage counter reported a flat `0.0/min`; from 7 July it reported **nothing at all** — every July digest reads "telemetry unavailable." The month the output surged is the month the machine stopped measuring it. There are no token or cost figures to cite.

Notion is still frozen.
Two months on, the structured-state migration Volume One celebrated has recorded **zero writes**. The Trojan databases are pristine and stale. "Structured state → Notion wins" is doctrine neither window honoured.

The audit substrate regressed.
From 28 April the event sidecars stopped emitting the rich risk/fact/monitor/opportunity registries and now carry only counts — so the forensic scorecard cannot be computed from data, only re-read from prose.

Inference is fragile.
Ollama timeouts recur — 17 error files across the window, 79 connection and 27 timeout events — forcing low-fidelity gemma3:12b fallbacks that emit calendar-conflict noise. The documented localhost:8787 endpoint actually collides with an unrelated SSH service; only the tailnet address works.

The runtime is past its use-by.
Python 3.9.6 is end-of-life; logs carry Google-library and urllib3 deprecations. The briefing-room test suite sits at 140 passed, 2 failed, 3 skipped — the failures are date-fixture artefacts, but they dull CI confidence.

The machine over-reached, once.
On the criminal file the operator told counsel his "over-caffeinated AI machine" had produced paranoid, voluminous output. On Hyperion it briefed liquidation when the answer was administration. The machine surfaces well; it must not be trusted to decide.

The surge was shallow — and unretrievable.
362 daily artifacts is real volume, but no new research brief landed after 11 June and no new report file inside the window; the "photoreal render set" the 15 July digest claims is a sentence, not files on the drive. And the Police first-call outcome, the DOCA signing and the NOPA filing are all approved-or-heard but unconfirmed in the record. Recorded, not papered over.

MACHINE 04 · FROM COCKPIT TO CONTROL PLANE

What the next weeks are for.

The doctrine's first instruction, still unmet: build the control plane first.

1 — Build the matter registry, finally

One row per live matter — the eleven Doctrine fields: Matter ID, category, stage, risk tier, value tier, deadline, next action, routing rule, source-of-truth, human owner, automation coverage. It is the difference between a cockpit and a control plane, and the standing instruction is unambiguous: *"Build the control plane first. Without it, every other layer turns into clever chaos."* Three criticals converge in the week of 7 July; that week should be runnable from the registry, not from memory.

2 — Un-freeze Notion, or retire the claim

Either the structured state moves back into Notion as a living artefact — and the Project Pulse monitor that would catch workstream slippage is actually deployed — or the "structured state → Notion wins" doctrine is honestly retired. A pristine database nobody writes to is worse than none.

3 — Make the telemetry tell the truth

This month it told nothing — after 3 July the counter went silent. *Restore it first.* Then stop hard-coding `errors_today = 0` and add real health endpoints for citadel-intel, Ollama, Gmail, Calendar, the note-router and sheba. A dashboard that goes dark in the busiest month is worse than none.

4 — Land the late-July run

The early-July criticals resolved — a deed carried, a contract signed, a call heard. The near-term is the RYU RC (contamination-flagged, ~24 July), the ERA final joint bundle (24 July), the Babich refinance to Fortis, and the DOCA and NOPA that are approved-or-heard but not yet executed. Counsel-and-operator tasks; track them to the day.

5 — Reconcile the Babich number

Kingstons' $7.79m uplift and the developer's disputed 25 September slip need one agreed position with FMT and Capital Group, with the new Maven engineer-to-contract owning the cost-to-complete that Terra never represented.

6 — Fix the runtime and the substrate

Migrate off Python 3.9.6; restore the rich event sidecars so the forensic scorecard computes from data again; clear the dead mailbox and the lapsed SPV registrations that the deal engine keeps outrunning.

Volume One asked whether motion could become architecture; Volume Two watched the controlled demolition; this volume watched it pay off — a deed carried, a tower sold, a subdivision recapitalised — all through a machine that ran every day. But it ran hot and shallow, and in the busiest month it stopped measuring itself. The firm's judgement cleared the quarter. The next volume is about the same unfinished thing: whether it can run from a register instead of a memory, and whether the machine can be trusted to see itself.

COLOPHON · END OF ISSUE

LIGHTSPEED

Volume Three — A documentary record of the two months from 16 May to 16 July 2026, New Zealand time: the payoff — a deed carried, a tower sold, a subdivision recapitalised — and the machine's surge, counted honestly.

Drawn from a full sweep of every surface the programme touches — the daily Lightspeed briefings and event sidecars in Dropbox; Gmail; Google Drive; Calendar; the Notion operating layer; and the brain corpus itself. Set in **Helvetica Neue** and **SF Pro** for body and metadata; chapter dividers and editorial asides set in **Big Caslon**. Aesthetic reference: *Softer Volumes — Hotels Vol. 01*. Data visualisations drawn in the stone palette, in keeping.

Synthesis prepared by the Lightspeed machine. Surface-sweep agents ran in parallel across Dropbox, Gmail, Google Drive, Calendar and Notion in two passes — the six-week base and the July extension — with findings cross-checked and coverage gaps recorded rather than papered over. Photography drawn from the McLean's Mansion marketing pack, the Citadel AI render library, the RYU Albany render set, the Babich Rise drone library, the THRIVE Central renders for 126 Featherston, and the Christchurch / Welder set.

ISSUE	PERIOD	EDITOR	IMPRINT
Vol. 03 · MMXXVI	16 May — 16 Jul 2026 NZT	Farhad Moinfar	Citadel · Lightspeed